

scale in different sectors and across the value chain,” he had said.

Experts and policy watchers also believe that the industrial smart cities could see a positive response but caution that increasing the share of manufacturing in the economy could take time.

Ramendra Verma, Partner at Grant Thornton Bharat, points out that such infrastructure will reduce setup times for businesses, making it easier for both domestic and international companies to establish operations in India. “The parks will be designed to support micro, small, and medium enterprises (MSMEs) by providing them with affordable and accessible industrial spaces. This will foster innovation and entrepreneurship, enabling MSMEs to scale up their operations and contribute more significantly to the economy. The presence of large anchor industries within these parks will also create opportunities for MSMEs to become part of larger supply chains,” he says, adding that they will also enhance logistics efficiency and help in reducing transportation costs and time.

Suman Chowdhury, Executive Director and Chief Economist at Acuité Ratings & Research, agrees that the industrial parks will add to the infrastructure facilitation that is already being done for new manufacturing ventures. “However, how quickly they lead to actual investments and setting up of manufacturing projects on the ground will have to be seen as this tends to be a gradual process,” he cautions, adding that apart from land and environmental clearances, fiscal benefits tend to add to the attractiveness of such projects.

THE CHALLENGES

However, there could be some stumbling blocks. An immedi-



FOUR INDUSTRIAL SMART CITIES WITH PLUG-N-PLAY INFRA AND MULTI-MODAL CONNECTIVITY READY FOR IMMEDIATE ALLOTMENT

- ▶ Dholera, Gujarat
- ▶ AURIC, Maharashtra
- ▶ Integrated Industrial Township, Greater Noida
- ▶ Integrated Industrial Township, Vikram Udyogpuri, Madhya Pradesh

FOUR PROJECTS UNDER IMPLEMENTATION, LIKELY COMPLETION BY END-2025

- ▶ Tumakuru Industrial Township, Karnataka
- ▶ Krishnapatnam Industrial Area, Andhra Pradesh
- ▶ Integrated Multi Modal Logistics Hub, Nangal Chaudhary, Haryana
- ▶ Multi Modal Logistics Hub, Dadri, Uttar Pradesh

ate challenge would be to create adequate social infrastructure that will attract sufficient people to move to these industrial smart cities, say experts. This was also evident in the case of GIFT City in Gujarat and while officials concede that this can be a challenge, they are hopeful that at least some workers would find it meaningful enough to move homes once they get a job in one of these emerging townships.

What could be more of a challenge is the mixed results from India's previous initiatives to attract private investments as it tries to become a global manufacturing hub.

The cut in corporate tax rates to 22% for domestic companies, a 15% concessional rate for new domestic companies (that has since ended), as well as measures under the flagship Make in India scheme such as the PLI have seen limited success. Investors remain concerned about ease of doing business and the several compliances that setting up businesses in the country mandate.

Private sector investments have also been tepid in the past few years in the wake of the Covid-19 pandemic and concerns about private demand.

The issues were highlighted